Ajay Kumar vs State (Nct Of Delhi) on 7 July, 2025

Author: Sanjeev Narula

Bench: Sanjeev Narula

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* IN THE HIGH COURT OF DELHI AT NEW DELHI
+ BAIL APPLN. 2254/2025, CRL.M.A. 18077/2025, CRL.M.A.
18078/2025, CRL.M.A. 18079/2025 & CRL.M.A. 18083/202

AJAY KUMAR
Through: Mr
Ad

versus

STATE (NCT OF DELHI)
Through: Mr
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NF
Mr
Ad

CORAM:
HON'BLE MR. JUSTICE SANJEEV NARULA
ORDER

% 07.07.2025

1. The present application under Section 482 of the Bharatiya Nagarik Suraksha Sanhita, 20231 (erstwhile Section 438 of the Code of Criminal Procedure, 19732) seeks pre-arrest bail in FIR No. 402/2023 registered under Sections 420/34 of the Indian Penal Code 18603, at P.S. New Friends Colony. During the course of investigation, offences under Sections 467, 468, 471 and 120B of IPC were also added against the Petitioner.

2. The case of the prosecution, in brief, is summarised as follows:

> 2.1 The subject FIR was registered against the Applicant and his associates in relation to an alleged fraudulent transaction involving the sale "BNSS"
>
> "Cr.P.C."
>
> "IPC"

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48 bighas of land in Harchandpur, Baghpat, U.P.4 The Complainant, Dr. Nizam Khan alleges that the Applicant and the co-accused falsely represented that the property in question was free from all encumbrances and defects in title. Believing these representations to be genuine, the Complainant, entered into an agreement to purchase the land in December 2023 for a total sale consideration of 11.52 crores. Pursuant to this agreement, Dr. Khan paid an amount of 1 crore to the accused persons as earnest money, partly in cash and partly via RTGS transfers. However, upon subsequent verification of the title and possession of the land through records maintained by the office of the concerned Tehsildar, the Complainant discovered that the property was allegedly acquired by the accused persons on the basis of forged and fabricated documents. Further inquiry revealed that prior to 2005, the rightful title holder of the said land was one Mrs. D'Souza. Alarmed by these findings, Dr. Khan lodged a complaint, leading to the registration of the FIR and the initiation of investigation against the Applicant and his co-accused. 2.2 During investigation, it was revealed that the accused persons (including the Applicant) were involved in a large-scale land fraud, centred around a will dated 28th March, 1984, purportedly executed by Mrs. D'souza in favour of one Abdul Mazid (father-in-law of co-accused Iqbal Khan). The said will was approved vide order bearing No. 70 dated 5th October 2005 issued by Chakbandi Adhikari Baghpat, U.P. Relying on this order, the land was transferred to the Applicant and his co-accused brothers. However, further investigation uncovered that an internal inquiry conducted by the office of the Collector, Baghpat, revealed that Order No. 70 issued by the "subject land"

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The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 09/07/2025 at 21:38:31 Chakbandi Adhikari was not based on actual facts and was liable to be cancelled. Consequently, a revision petition was filed by the public prosecutor before the Additional District Magistrate (ADM), Baghpat, challenging the legality of Order No. 70. It was asserted that Mrs. D'Souza had died intestate and without legal heirs, and thus, the property had devolved to the government. The said revision petition is currently pending adjudication before the ADM, Baghpat.

2.3 Investigation further revealed that the purported transfer of the subject property to the Applicant and other co-accused in 2005 by Abdul Mazid, on the basis of the will of Mrs. D'Souza, was done even before the disposal of the case by the Presiding officer, Collector's office Baghput dated 21st May, 2007.

2.4 The investigating officer has reported that a total of twelve criminal cases have been registered against the accused persons by various complainants, all involving a similar modus operandi. In these cases, the accused allegedly used fabricated documents to falsely represent title and possession of the same subject land, thereby inducing unsuspecting buyers to enter into fraudulent agreements to sell. Out of these twelve cases, seven cases have been specifically registered against the present Applicant, indicating a consistent and organized pattern of criminal activity. 2.5 In

light of these revelations, the offences under Sections 467, 468, 471, and 120B of the IPC were added to the subject FIR, and further investigation into the matter is currently ongoing.

3. Counsel for the Applicant urges the following grounds for seeking pre-arrest bail:

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3.1 The entire case of the investigating authority against the Applicant rests merely on unsubstantiated allegations, without any tangible evidence establishing that the Applicant was not the true title holder of the property or that he misrepresented his ownership status. No material has been placed on record justifying the invocation of Sections 467, 468, and 471 of IPC, as the Applicant and his brothers purportedly possess clear title to the subject land. 3.2 The essential ingredients constituting the offence of cheating under Section 420 of IPC is not made out as there is no material to show that the Applicant dishonestly or with fraudulent intent entered into the transaction with the Complainant. As held in the case of Hridaya Ranjan Prasad Verma v. State of Bihar5, to constitute an offence of cheating under Section 420 of IPC, dishonest intention must be shown to have existed at the inception of the transaction. However, the Applicant was not involved in the transaction, in fact, he did not even meet the Complainant in person other than the time of execution of the agreement to sell. Moreover, the Applicant also obtained valid No Objection Certificates from relevant financial institutions before prior to the transaction, and thus, there was no suppression or misrepresentation regarding any dues on the land. 3.3 The FIR discloses no specific role attributable to the Applicant, as all negotiations and execution of the agreement were carried out by his co- accused brother.

3.4 Mere breach of contract does not ipso facto give rise to criminal liability. The Complainant is aggrieved by the non-execution of the agreement to sell, whereunder he was first contractually obligated to remit the balance sale consideration by 12th December, 2022, failing which the This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 09/07/2025 at 21:38:31 Earnest Money Deposit (EMD) would be forfeited. Instead of fulfilling this obligation or initiating civil proceedings against the forfeiture of the EMD, the Complainant has initiated criminal action against the Applicant in an attempt pressurize them to settle their civil claims. Thus, the impugned FIR is an abuse of the process of the law and ought to be quashed. 3.5 Bail should not be denied to the Applicant merely on the basis of allegations, since the essential ingredients of the offence are not prima facie satisfied. Reliance in this regard is placed on the case of Sanjay Chandra v. CBI6.

3.6 The Applicant is not a flight risk as he has not absconded in any other pending cases.

3.7 The Applicant suffers from multiple medical conditions and any incarceration would adversely affect his health.

3.8 Custodial interrogation of the Applicant is unwarranted as all the relevant material - i.e., the land revenue records are already in the possession of the investigating officer.

3.9 Other co-accused persons. against whom there are identical allegations, have already been granted bail by the Trial Court and therefore, the Applicant should be granted anticipatory bail on grounds of parity.

4. On the other hand, Mr. Mukesh Kumar, APP for the State, strongly opposes the bail application on the following grounds:

> 4.1 The Applicant has played an active and integral role in the execution of fraudulent agreement to sell which forms the subject matter of the present case. This is substantiated by the receipt of the EMD amount of 1 Crore by (2000) 4 SCC 168.

(2012) 1 SCC 40 This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 09/07/2025 at 21:38:31 the Applicant and the other co-accused, from the Complainant. 4.2 Investigation into the money trail with respect to the EMD amount is ongoing. In this context, custodial interrogation of the Applicant is necessary for effectively tracing the movement of funds and unearthing the full scope of the alleged conspiracy. Granting anticipatory bail at this juncture, would severely hamper and prejudice the ongoing investigation. 4.3 The Applicant is involved in seven similar cases of fraud involving around 25-30 victims who have been identified so far. If he is enlarged on bail, he may not only repeat such offences but may also abscond from the process of the law or otherwise attempt to influence witnesses.

5. The Court has considered the submissions advanced by the parties. At the outset, it is noted that while deciding an application for pre-arrest bail under Section 438 of Cr.P.C. (now Section 482 of BNSS, the Court is only required to take a prima facie view as to whether there is material which indicates to the potential culpability of the Applicant. The Supreme Court in Balchand Jain v. State of M.P.7, observed that the power of granting anticipatory bail must be exercised sparingly, and ought to be given in cases where false implication of a person is suspected, the accusation appears frivolous, or the applicant is demonstrably unlikely to abscond or abuse the liberty if so granted. The relevant portion of the judgement is as follows:

> "Now, this power of granting "anticipatory bail" is somewhat extraordinary in character and it is only in exceptional cases where it appears that a person might be falsely implicated, or a frivolous case might be launched against him, or "there are reasonable grounds for holding that a person accused of an offence is not likely to abscond, or otherwise misuse his liberty while on bail" that such power is to be

exercised. And this power being rather of an unusual nature, it is entrusted only to (1976) 4 SCC 572 This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 09/07/2025 at 21:38:31 the higher echelons of judicial service, namely, a Court of Session and the High Court. It is a power exercisable in case of an anticipated accusation of non-bailable offence and there is no limitation as to the category of non-bailable offence in respect of which the power can be exercised by the appropriate court."

[Emphasis added]

6. In the present case, the investigation is ongoing. The material unearthed so far prima facie suggests that the Applicant and his co-accused may have deliberately misrepresented the title and possession status of the subject property, portraying it as unencumbered and lawfully theirs. This misrepresentation formed the foundation of the agreement to sell, leading to the receipt of substantial earnest money from the Complainant.

7. The material on record reveals that the Applicant, along with his co- accused, has been consistently engaging in a pattern of fraudulent transactions, involving repeated execution of agreements to sell the same parcel of land to multiple unsuspecting purchasers. Pertinently, investigation has disclosed that as many as seven other similar cases have been registered against the Applicant, all involving the same modus operandi of fabricating title documents and inducing innocent buyers into parting with substantial sums of money. These antecedents demonstrate not merely isolated lapses, but rather a continuing and systematic course of conduct suggesting a deep-rooted, organized criminal design.

8. The Applicant's claim that he was not directly involved in the execution of the transaction stands belied by the investigation thus far, which indicates that he was a direct beneficiary of the EMD of 1 crore paid by the Complainant. At this preliminary stage, there is sufficient material to prima facie suggest that the Applicant actively participated in the alleged This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 09/07/2025 at 21:38:31 fraudulent scheme and derived financial benefit therefrom. Consequently, his contention that the essential ingredients of cheating under Section 420 IPC are not met in the present case, cannot be accepted at this juncture.

9. It is well settled that custodial interrogation serves a crucial function in cases of economic offences. It facilitates the effective tracing of misappropriated funds, helps ascertain the full scope of the conspiracy, and enables recovery of crucial documentary evidence of the money trails. In the present case, given the involvement of multiple bank accounts, forged documents, and the existence of a network of accomplices, custodial interrogation of the Applicant is imperative to secure a fair and comprehensive investigation.

10. Furthermore, the Applicant's history of involvement in similar offences significantly raises the risk of him absconding, tampering with evidence, or influencing witnesses if granted anticipatory bail. The Supreme Court has consistently held that while considering bail, the larger societal interest and the need for a fair and unimpeded investigation must prevail over individual liberty in serious economic offences.

11. In view of the above, this Court is of the considered opinion that the case against the Applicant discloses a prima facie involvement in a cognizable and serious offence, supported by material indicating repeated fraudulent conduct. The interests of justice demand that he be subjected to custodial interrogation to fully unravel the conspiracy and prevent any further misuse of the legal process.

12. Needless to state, the Court has not commented on the merits of the case. All observations made herein are solely for the purpose of deciding the present applicant and shall not be construed as an opinion expressed on the This is a digitally signed order.

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13. Accordingly, the present application is dismissed.

SANJEEV NARULA, J JULY 7, 2025/d. negi This is a digitally signed order.

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